

SFT	Securities financing transaction
SIV	Structured investment vehicle
SME	Small and medium-sized Enterprise
SPV	Special purpose vehicle
VaR	Value-at-risk
VRDN	Variable Rate Demand Note

Introduction

1. This document, together with the document *Basel III: International framework for liquidity risk measurement, standards and monitoring*, presents the Basel Committee's¹ reforms to strengthen global capital and liquidity rules with the goal of promoting a more resilient banking sector. The objective of the reforms is to improve the banking sector's ability to absorb shocks arising from financial and economic stress, whatever the source, thus reducing the risk of spillover from the financial sector to the real economy. This document sets out the rules text and timelines to implement the Basel III framework.

2. The Committee's comprehensive reform package addresses the lessons of the financial crisis. Through its reform package, the Committee also aims to improve risk management and governance as well as strengthen banks' transparency and disclosures.² Moreover, the reform package includes the Committee's efforts to strengthen the resolution of systemically significant cross-border banks.³

3. A strong and resilient banking system is the foundation for sustainable economic growth, as banks are at the centre of the credit intermediation process between savers and investors. Moreover, banks provide critical services to consumers, small and medium-sized enterprises, large corporate firms and governments who rely on them to conduct their daily business, both at a domestic and international level.

4. One of the main reasons the economic and financial crisis, which began in 2007, became so severe was that the banking sectors of many countries had built up excessive on- and off-balance sheet leverage. This was accompanied by a gradual erosion of the level and quality of the capital base. At the same time, many banks were holding insufficient liquidity buffers. The banking system therefore was not able to absorb the resulting systemic trading and credit losses nor could it cope with the reintermediation of large off-balance sheet exposures that had built up in the shadow banking system. The crisis was further amplified by a procyclical deleveraging process and by the interconnectedness of systemic institutions through an array of complex transactions. During the most severe episode of the crisis, the market lost confidence in the solvency and liquidity of many banking institutions. The weaknesses in the banking sector were rapidly transmitted to the rest of the financial system and the real economy, resulting in a massive contraction of liquidity and credit availability. Ultimately the public sector had to step in with unprecedented injections of liquidity, capital support and guarantees, exposing taxpayers to large losses.

¹ The Basel Committee on Banking Supervision consists of senior representatives of bank supervisory authorities and central banks from Argentina, Australia, Belgium, Brazil, Canada, China, France, Germany, Hong Kong SAR, India, Indonesia, Italy, Japan, Korea, Luxembourg, Mexico, the Netherlands, Russia, Saudi Arabia, Singapore, South Africa, Spain, Sweden, Switzerland, Turkey, the United Kingdom and the United States. It usually meets at the Bank for International Settlements (BIS) in Basel, Switzerland, where its permanent Secretariat is located.

² In July 2009, the Committee introduced a package of measures to strengthen the 1996 rules governing trading book capital and to enhance the three pillars of the Basel II framework. See *Enhancements to the Basel II framework* (July 2009), available at www.bis.org/publ/bcbs157.htm.

³ These efforts include the Basel Committee's recommendations to strengthen national resolution powers and their cross-border implementation. The Basel Committee mandated its Cross-border Bank Resolution Group to report on the lessons from the crisis, on recent changes and adaptations of national frameworks for cross-border resolutions, the most effective elements of current national frameworks and those features of current national frameworks that may hamper optimal responses to crises. See *Report and recommendations of the Cross-border Bank Resolution Group* (March 2010), available at www.bis.org/publ/bcbs169.htm.